

the longer term in future. For example, in FY12, Asian Paints delivered 28 per cent share price growth whilst the Sensex declined by 10 per cent. During this period, Sensex earnings grew by 6 per cent and its trailing P/E multiple declined by 16 per cent. However, despite this market-wide derating in the P/E multiple, Asian Paints' P/E multiple increased by 10 per cent and its EPS grew by 17 per cent in FY12.